European Commission - Press release

Mergers: Commission approves KPS acquisition of Real Alloy Europe, subject to conditions

Brussels, 19 October 2022

The European Commission has approved, under the EU Merger Regulation, the proposed acquisition of Evergreen Holding Germany GmbH and Real Alloy UK Holdco Ltd (‘Real Alloy Europe') by KPS Special Situations Fund V, a fund managed by KPS Capital Partners, LP (‘KPS') through its subsidiary Speira BidCo I GmbH (‘Speira'). The approval is conditional on full compliance with commitments offered by KPS.

Executive Vice-President Margrethe **Vestager**, in charge of competition policy, said: *“Access to recycled aluminium is important to achieve the objectives of the circular economy and green transition. We had concerns that the combined entity could foreclose critical input for producers of aluminium flat rolled products. These are necessary for the manufacturing of daily products, like beverage cans. KPS offered to divest a stand-alone business which consists of two plants and this addresses our competition concerns”.*

KPS is an investment fund controlling manufacturing companies across multiple industries. KPS's subsidiary **Speira** produces recycled aluminium and manufactures flat rolled aluminium products. **Real Alloy Europe manufactures and supplies recycled aluminium**. It also provides recycling services to third parties for (hazardous) by-products from the aluminium recycling process, **such as dross and salt slag.**

The Commission's investigation

The Commission's investigation showed that following the transaction, the parties could **restrict access to recycled aluminium as well as dross and salt slag recycling services**.

Real Alloy Europe has a significant market position in those markets, there are only a few alternative suppliers, and competitors of Speira for flat rolled products rely on those inputs currently provided by Real Alloy. The recycling of these products is critical for the production of recycled aluminium. The recycling allows extracting their aluminium content and other components. At the same time, hazardous waste needs to be recycled as it is subject to stringent regulations in relation to storage and recycling requirements.

Following the transaction, the parties would have the incentive and ability to restrict the competitors' access to necessary products and services in the aluminium recycling chain. In turn, this could lead to higher prices for aluminium flat rolled products used to manufacture beverage cans.

The proposed remedies

To address the Commission's competition concerns, KPS offered to **divest Real Alloy's recycled aluminium production and dross recycling facility** in Swansea (UK) as well as **Real Alloy's salt slag recycling plant** in Sainte-Menehould (France).

The commitments include the structural divestiture of a stand-alone business consisting of two plants, which have sufficient capacity and ability to continue providing services and supplying competitors for aluminium flat rolled products. The Commission will closely monitor the divestment process, including the choice of a suitable purchaser for the divested business that will have to be approved by the Commission.

Following the market test, the Commission concluded that the transaction, as modified by the commitments, would no longer raise competition concerns. The decision is conditional upon full compliance with the commitments.

Background

KPS is a US private equity company managing manufacturing and industrial companies, across multiple industries, including aluminium products manufacturers of active in the European Economic Area (‘EEA') and worldwide.

Speira, ultimately controlled by KPS and based in Germany, is a manufacturer of advanced flat rolled aluminium products used across multiple industries (e.g. automotive, packaging, printing, engineering, building and construction) and is active in the production of recycled aluminium. FRPs can be used for a number of applications.

Real Alloy Europe is the EEA and UK business of the Real Alloy Group. Real Alloy Europe is engaged in the sourcing, processing and recycling of aluminium and magnesium by-products and is a recycled aluminium specification alloys producer.

Merger control rules

The transaction was notified to the Commission on 31 August 2022.

The Commission has the duty to assess mergers and acquisitions involving companies with a turnover above certain thresholds (see Article 1 of the Merger Regulation) and to prevent concentrations that would significantly impede effective competition in the EEA or any substantial part of it.

The vast majority of notified mergers do not pose competition problems and are cleared after a routine review. From the moment a transaction is notified, the Commission generally has a total of 25 working days to decide whether to grant approval (Phase I) or to start an in-depth investigation (Phase II). If commitments are proposed in Phase I, the Commission has 10 additional working days, bringing the total duration of a Phase I case to 35 working days, such as in this case.

More information will be available on the Commission's competition website, in the public case register under the case number M.10702.

IP/22/6274

Press contacts:

Arianna PODESTA (+32 2 298 70 24)
Maria TSONI (+32 2 299 05 26)

General public inquiries: Europe Direct by phone 00 800 67 89 10 11 or by email